

ETR pitch deck

PITCH — ETR — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: Do not buy Entergy at today's price (~\$107.84). Both review benches independently reached the same conclusion (each at 9/10 conviction): the stock is a real growth story that is already fully paid for, the dividend is far too small for an income holding, and the one document that would tell us how bad the downside could be has been sealed by the regulator. Re-open consideration only below ~\$78 or if the sealed contract terms become public — and even then, buy only at a discount, because the regulatory process itself is compromised.

What we believe

Entergy is a genuinely growing regulated electric utility. Its Louisiana subsidiary signed up Meta's enormous Richland Parish data center, management has raised its capital plan to \$67 billion, and the company now guides to \$7.05–7.35 of adjusted earnings per share by 2030 — more than 8% annual growth, which is unusual for a utility. The growth is real. That part of the story survived every attack we threw at it.

What did **not** survive is the idea that you can buy this growth safely today:

- 1. The price already contains the whole story.** At \$107.84 against the company's own 2026 guidance midpoint of \$4.35 ([Q2 2026 results press release](#)), the stock trades at 24.8 times earnings — roughly a 35% premium to comparable large regulated electrics (Duke trades near 18.4x).
- 2. The dividend can't justify holding it for income.** \$2.56 per year is a 2.37% yield before tax, about 1.81% after tax — versus our 3.5% after-tax minimum. The math only works below ~\$56, a price nobody expects.
- 3. The downside from a Meta walk-away is unknowable — on purpose.** The protections that would limit shareholder damage if the data-center load never materializes (minimum-bill and termination terms) sit in confidential contract exhibits, and on August 12, 2026 the Louisiana Public Service Commission voted 3-1 to keep Meta's supporting information sealed, overruling its own administrative law judge.
- 4. The regulator protecting this story is compromised.** Reporters found Word-document metadata showing an Entergy vice president of regulatory affairs authored motions that commissioners then adopted as their own, in both the Meta docket and a Hyundai-related vote. That makes near-term approvals *more* likely, but it means “the regulator reviewed this and it's fine” carries little weight, and it adds a tail risk of legal challenges to those approvals later.

What the market believes

The market believes the AI/data-center load growth story, and it is paying up for it. The stock sits 24.8% off its 52-week low and about 9% off its high — this is a crowded, well-loved name near its highs, not an overlooked one. The premium multiple says investors treat the \$67 billion capital plan and the 8%+ earnings growth path as close to certain, with the regulatory approvals as a formality. Given the pace of approvals so far (the first three plants were approved in August 2025, and a further ~\$13 billion seven-plant request is pending with a decision expected around year-end 2026), that confidence is not crazy — it is just already in the price.

Why we might have edge

Honestly: not much at this price, and the court said so. What we have is *earlier and better-documented pessimism about the fine print*, which matters only at lower prices:

- We read the regulatory record more closely than the headline coverage: the August 12 sealing vote, the fact that the substantive contract protections were already confidential, and the ghostwriting metadata story ([WWNO, August 11, 2026](#)). Most coverage treats regulatory approval as pure good news; we can see the approval process is tainted and the downside is deliberately hidden.
- We identified the ratepayer-backlash fuel: a consultant analysis filed in June 2026 shows the Meta deal raises residential bills \$8–13 per month. That makes the pending \$13 billion docket genuinely contestable, not a rubber stamp.
- We know exactly what would change our mind (the sealed terms becoming public), which means if that ever happens we can act within hours while the market digests it slowly.

Why it might be priced in

This is the stronger side of the ledger, and both benches agreed:

- The growth story is not a discovery — it is management’s own guidance, hiked publicly, covered widely. Paying 24.8x is paying full freight for it.
- The company’s own risk language names the exact failure mode (“contracted or expected load growth does not materialize”), so even the bear case is disclosed.
- The financing costs tell you the market is not giving this away: Entergy just sold \$1.5 billion of junior subordinated debt at 6.50% (with a 6.50% floor on future resets) — expensive money against a stock earning a 4.0% earnings yield ([8-K filed August 7, 2026](#)). That, plus \$2.175 billion of new common stock and share count growing about 6%, means the growth is being paid for partly by diluting today’s holders.
- Nothing about our regulatory findings is proprietary — it is all in public news coverage. Our edge is interpretation and speed, not secret information.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Stock trades at a normal utility multiple (the screen's premise)	Arithmetic: $\$107.84 \div \4.35 guidance midpoint; compared to Duke's forward P/E and industry data	24.8x vs ~18.4x for the closest large peer — premise is false	Yes — refuted the premise
Bench error: “up to 70% premium” (red bench)	Blue bench audited the comparison set	The 14.5x “industry median” included small water and gas utilities; honest comparison is ~18x, so the premium is ~35%, not 70%	Yes — red overstated; corrected
AI load growth is free upside not yet in the numbers	Read company press releases and investor slides	The opposite: the AI load IS the guidance — \$67B plan, \$7.05–7.35 by 2030 raised on Meta/Hyundai	Yes — refuted
Dividend clears our 3.5% after-tax income bar	Arithmetic on declared \$0.64/quarter	1.81% after tax; would need a ~\$56 stock price	Yes — fails by nearly half
Contract terms limit downside if Meta walks	Searched the LPSC docket record and news coverage	Terms are confidential; LPSC voted 3-1 on Aug 12, 2026 to keep Meta's information sealed, overruling its judge	Yes — downside is unverifiable by design
Bench error: sealing vote date and scope (red bench)	Blue bench cross-checked three outlets	Vote was Aug 12 (reported Aug 13); what was newly sealed was Meta's load/jobs justification — the contract exhibits were already confidential	Yes — corrected, direction unchanged
Bench error: which docket decides by year-end (original brief)	Read Entergy's own press release on the 2025 approval	The Aug 2025 approval covered the first three plants; the pending ~\$13B seven-plant request is a separate docket still awaiting trial	Yes — corrected
Regulatory process is independent	News investigation of document metadata	An Entergy VP authored PSC motions commissioners adopted, in two separate dockets	Yes — process is compromised
New debt terms	Read the 8-K directly	\$1.5B junior subordinated at 6.50%, floor 6.50% on resets	Yes
Share count math	Audited filings (XBRL); checked for stock-split artifact	440.6M → 466.6M shares (~6% real growth); the split was correctly excluded — no artifact	Yes
Meta may transfer data-center ownership	Headline only; primary document not read	Flagged to regulators per news reports	No — plausible, unverified
Next earnings date Oct 29, 2026	Derived from a data feed, not a company announcement	No company press release names it	No — unconfirmed
Live price quote at write-up time	Attempted broker quote; permission unavailable in this session	Using Aug 14 close of \$107.84 (market closed since)	Partial — freshest available

PROPOSED ENTRY BANDS

The courts say no entry at any price today for an income holding, and no entry near the current tape for any purpose. These are therefore *re-open* bands — conditions under which the name comes back for a fresh review, not automatic buys:

- **Price re-open: below \$78.00** (18x the \$4.35 guidance midpoint — the multiple at which we would merely be paying a normal utility price for an above-normal growth path). At that level the name goes to a growth/total-return review, **not** an income review. Even then: because the downside from a Meta failure cannot be bounded (sealed terms) and the regulatory record is tainted, any position must be sized as if the worst case is uncapped, and our valuation must be haircut to at most 85% of estimated fair value. Practically: small starter only, no full position.
- **Event re-open (works at any price, including above \$78): the sealed contract terms become public** — via unsealed docket exhibits, a court order, or contract disclosure in a 10-K/10-Q — *and* they show take-or-pay style payments covering Entergy's fixed costs for the life of the assets. This is the single event that could justify paying a premium multiple, because it would convert an unknowable downside into a bounded one.
- **Dividend re-open: a stated policy shift** toward a payout that could produce a ~3.5% after-tax yield near a reasonable price. No sign of this today; the math currently requires a ~\$56 stock.
- **Exits/trim: not applicable — we own nothing and have no orders.**
- **Catalyst dates:** Q3 earnings ~October 29, 2026 (unconfirmed by the company); Louisiana PSC decision on the ~\$13 billion seven-plant request expected by December 31, 2026 (trial pending; date is an expectation, not a scheduled ruling).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 78.0 (deck-provisional: 18x the \$4.35 midpoint of company 2026 guidance; re-opens a growth/total-return review with reduced si)
- filing watch: 8-K,10-Q,10-K until 2027-02-12 (deck-provisional: Meta ESA minimum-bill/termination terms entering the public record — the only above-gate re-open; also)
- dated pack ETR|2026-12-31: Three reads: (1) docket OUTCOME — clean approval / conditioned approval / contested-or-denied; (2) any ESA/minimum-bill terms entering the p
- dated pack ETR|2026-10-29: ETR: Q3 2026 earnings (data-feed derived, no company PR names it) (date confirmed=False)

What remains unverified

- **The contract protections themselves.** We have never read the minimum-bill or termination terms. Everything we “know” about downside protection is second-hand, and the regulator has voted to keep it that way. Until unsealed, the downside must be treated as unknowable — not merely unread.
- **The Meta ownership transfer** — headline-level only; the primary filing has not been read.

- **The October 29 earnings date** — data-feed derived, no company confirmation.
- **The exact peer set for the “fair” multiple** — we used Duke at ~18.4x and a large-electric range of ~18x; a fuller peer study could move the re-open gate modestly in either direction.
- **A live executable price** — the broker connection was unavailable in this session; all math uses the August 14 close of \$107.84. Prices must be re-pulled before any order is ever staged.
- **The \$8–13/month bill-impact figure** — from a consultant analysis filed in the docket; we did not re-derive it independently.

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